Horizon Capital Partners Fund IV

Q1 2026 Quarterly Limited Partner Report

Confidential - For Limited Partners Only | Hypothetical Demo

Net IRR	TVPI	DPI	NAV	Q1 Revenue Growth
14.9%	1.45x	0.17x	$1,245M	6.2%

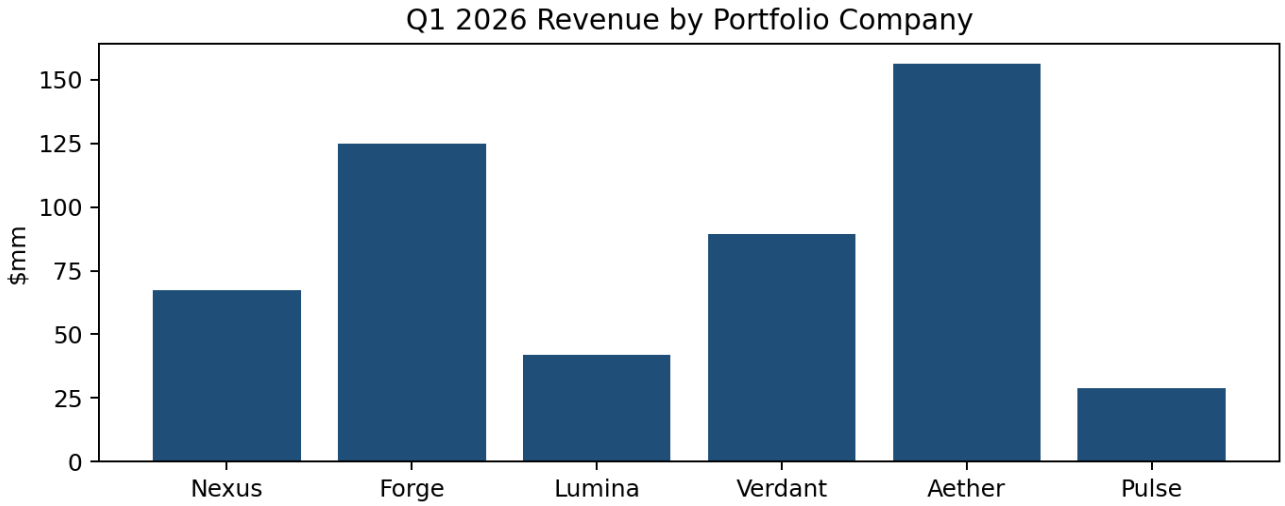
1. Executive Summary

Horizon Capital Partners Fund IV delivered a constructive first quarter. Portfolio revenue increased 6.2% quarter-over-quarter and disclosed-company weighted EBITDA margin was 20.6%. Fund IV ended the quarter with NAV of $1,245 million, TVPI of 1.45x, DPI of 0.17x, and net IRR of 14.9%. Operating performance was broad-based, with Nexus Dynamics posting the strongest growth and Lumina Health maintaining the highest disclosed EBITDA margin.

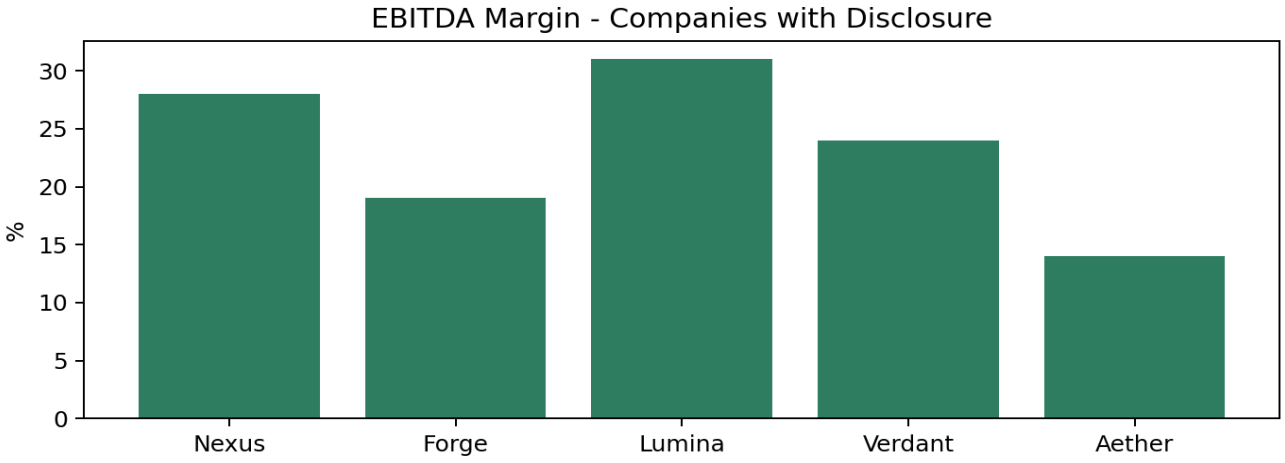
Key governance message: the highest-value automation opportunity is not only report drafting. It is source-backed, auditable fund reporting that links every number, calculation, narrative statement, review decision, and final output to a controlled workflow.

Fund Metric	Q1 2026	Definition / Use
LP Commitments ($mm)	$1.50B	Committed capital from LPs
Contributed Capital ($mm)	$975M	Paid-in capital
Unfunded Commitment ($mm)	$525M	Remaining callable capital
Distributions ($mm)	$165M	Returned capital and proceeds
NAV ($mm)	$1.245B	Fair value net asset value
Gross IRR	18.4%	Before fund-level fees and carried interest
Net IRR	14.9%	LP-level return after fees and carried interest
TVPI	1.45x	(NAV + distributions) / contributed capital
DPI	0.17x	Distributions / contributed capital
RVPI	1.28x	NAV / contributed capital

2. Portfolio Operating Performance

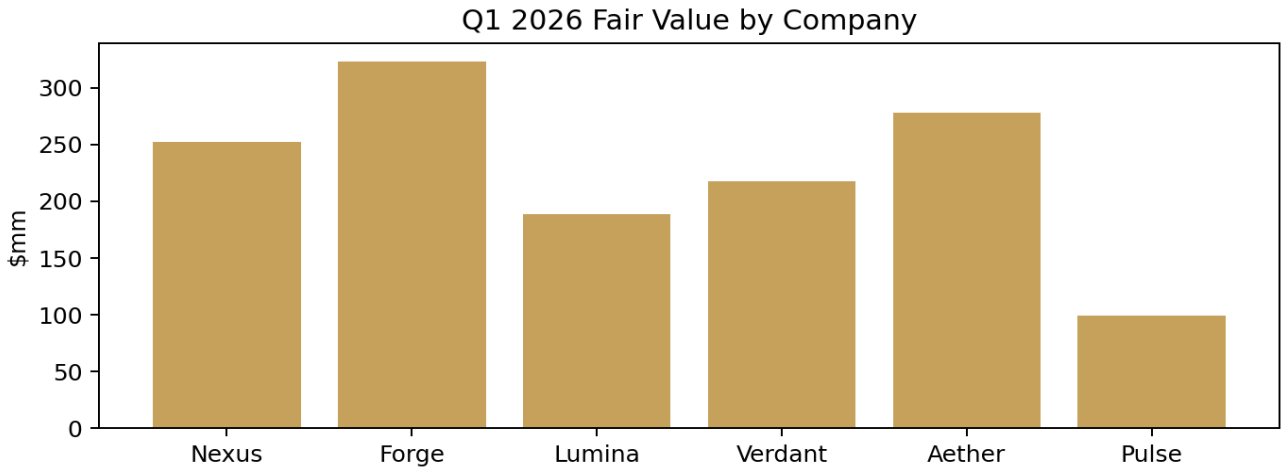


Company	Sector	Q1 Revenue	QoQ Growth	EBITDA	EBITDA Margin	Liquidity	Watch Item
Nexus Dynamics	SaaS	$67.4M	15.8%	$18.9M	28.0%	$31.2M	Enterprise renewal discipline; ARR conversion
Forge Manufacturing	Industrial	$124.8M	5.3%	$23.7M	19.0%	$47.0M	Leverage at 3.1x; capex sequencing
Lumina Health	Healthcare Tech	$42.1M	5.8%	$13.1M	31.0%	$22.0M	Gross margin missing; KPI consistency
Verdant Consumer	Consumer Goods	$89.3M	5.1%	$21.4M	24.0%	$38.6M	Commodity exposure; channel mix
Aether Logistics	Transportation	$156.2M	4.2%	$21.9M	14.0%	$68.0M	Fuel volatility; volume normalization
Pulse Biosciences	Biotech	$28.7M	4.4%	N/D	N/D	$41.0M	EBITDA not disclosed; R&D cash runway



3. Valuation and Exposure

Aggregate portfolio company fair value increased from $1,285 million to $1,359 million. The gross MOIC across listed holdings was 1.49x on aggregate cost of $915 million. The GP valuation committee should review whether public market multiples, company-specific performance, and balance sheet changes support each fair value mark before LP distribution.



Company	Cost ($mm)	Q4 Fair Value	Q1 Fair Value	Change	Gross MOIC
Nexus Dynamics	140	225	252	+27	1.80x
Forge Manufacturing	220	310	323	+13	1.47x
Lumina Health	120	180	189	+9	1.57x
Verdant Consumer	160	210	218	+8	1.36x
Aether Logistics	190	265	278	+13	1.46x
Pulse Biosciences	85	95	99	+4	1.16x

4. Risk Register and Q2 Priorities

Risk / Issue	Current Signal	Potential LP Concern	Q2 Mitigation
Pulse EBITDA non-disclosure	Revenue and gross margin were provided; EBITDA was not disclosed.	Limits visibility into burn, runway, operating leverage, and valuation bridge.	Request EBITDA bridge, R&D spend detail, cash runway, and milestone reporting.
Lumina gross margin gap	Gross margin missing from Q1 package.	Reduces comparability and quality-of-earnings analysis.	Require standardized monthly KPI package including gross margin, retention, and implementation metrics.
Forge leverage	Net Debt / EBITDA of 3.1x.	May constrain strategic flexibility if demand softens.	Working-capital release, procurement savings, debt reduction, and capex sequencing.
Narrative over-generation	AI-generated report may create unsupported claims if not grounded.	LP trust and compliance risk.	Require source citations, calculation lineage, review attestations, and legal/compliance approval.

Q2 action agenda

1. Standardize portfolio company reporting templates. 2. Reconcile every company source package to the fund administrator tracker. 3. Complete valuation committee review before narrative lock. 4. Route investor-ready draft through CFO, IR, legal/compliance, and Managing Partner approval. 5. Preserve audit trail of every override and final distribution decision.

5. Data Lineage and Approval Notes

Report Element	Primary Source	Required Reviewer	Control
Portfolio company KPIs	Company management packages, board decks, KPI Excel files	Deal team / portfolio ops	Source extraction with confidence score and exception queue
NAV, TVPI, DPI, IRR	Fund admin package and fund accounting workbook	CFO / fund controller	Formula validation and reconciliation to books
Fair value marks	Valuation memo, comps, DCF / market multiples	Valuation committee	Approval gate before LP draft generation
Narrative commentary	Deal team notes and management commentary	IR and Managing Partner	AI narrative must cite source statements or be marked as generated
Legal disclaimers	Compliance checklist and prior approved language	Legal / compliance	Mandatory approval before distribution
Distribution list	LP registry and permissions	Investor relations	Role-based distribution and watermarking

This report is a hypothetical Auquan demo artifact. It intentionally includes incomplete source data to demonstrate exception handling, review workflow, and controlled final reporting.